

THE TRIUMPHANT TRIO

Best big state, best small state and the best state for investment. Punjab, Puducherry and Gujarat emerge leaders in these categories and set an example before the laggards.

Call it the great Indian paradox. The best among all the 30 states and five Union territories, Punjab, is the slowest growing state in the country, only a shade better than Daman and Diu. If it still ranks on the top it is thanks to the legacy of the past. On the other hand, a fourth ranker among small states till last year, Puducherry has outshone Goa and Delhi to occupy the top slot in that category. Its performance on social sector parameters has been as impressive as in the sunshine sectors like technology and hardware. And on investment front, Gujarat, with a stable environment and resolute leadership has once again emerged the investors' favourite destination with projects worth Rs 75,000 crore committed in 2006-07. The supremacy of these states, despite low scores on many parameters, only shows how long the road is for others who have to travel a million miles before they can rest.

■ PUNJAB

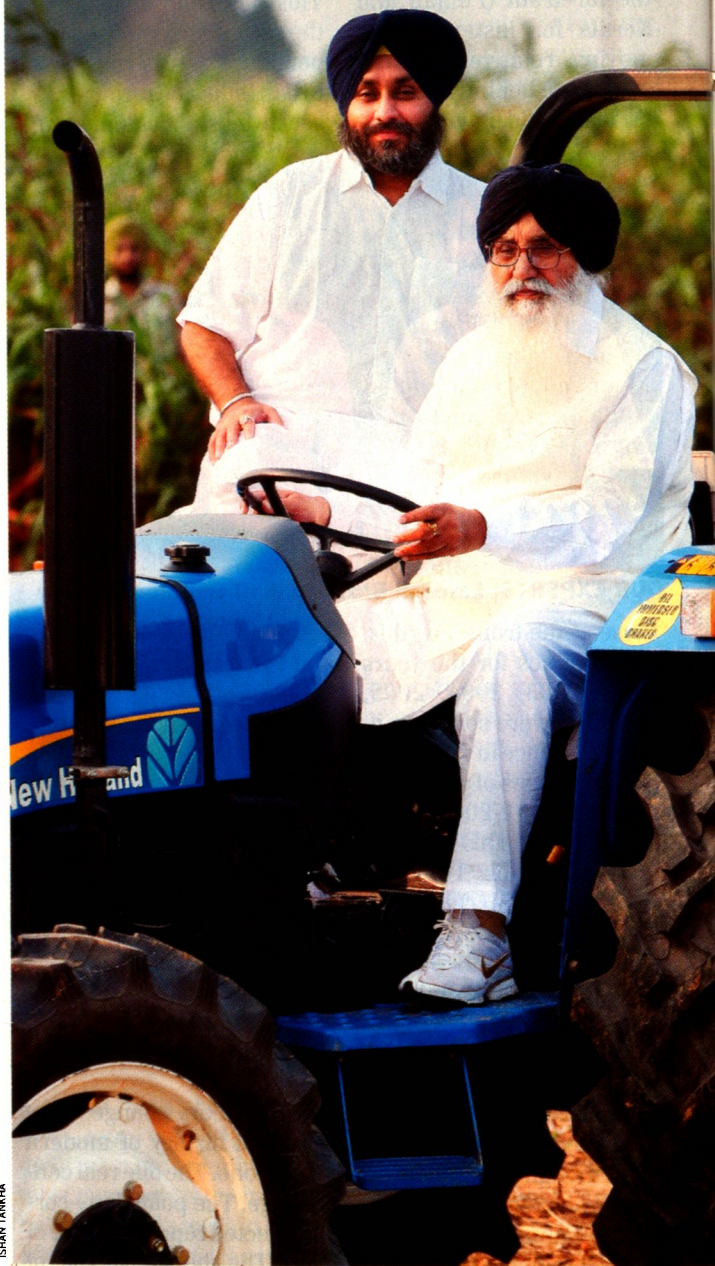
Prosperity Amidst Populism

It tops the rankings now but its position is threatened by the politics of competitive populism

■ By Ramesh Vinayak

We will turn Punjab into the California of India." That was Parkash Singh Badal's much-vaunted promise when he first came to power in 1997. The Shiromani Akali Dal supremo, in his fourth term as chief minister now, swears by the Singapore Vision, a model of development hawked by his US-educated son and Faridkot MP Sukhbir Singh Badal. In fact, even Captain Amarinder Singh of the Congress, when he was at the helm of affairs in the state, revelled in his "Dubai dream" for Punjab.

The 'inspired' rhetoric, however, is out of sync with the grim reality in the state today. Punjab, which long prided itself for its highest per capita income, has slipped to the eighth rung since 2001, even behind its one-time backwater sibling Haryana. Worse, it is now saddled with the dubious distinction of being the slowest growing state, only a shade better than Daman and Diu. "At this rate, Punjab would be worse off than Jharkhand and Orissa by 2015," fears Cambridge-educated state Finance Minister Manpreet Singh Badal. By all economic co-ordinates, **AT THE HELM: Punjab Chief Minister Parkash Singh Badal (right) with son Sukhbir Singh**



POPULISM IN PUNJAB IS FUNDED BY ITS PROSPERITY. Rs 8,500 CRORE IS THE TAB ON DOLES AND INTEREST COSTS. THERE IS NO MONEY FOR CAPITAL INVESTMENT